

ZG pitch deck

PITCH — ZG — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: Buy a half-sized initial position (~0.5% of the book) near \$35, with all additions gated on events — the FTC verdict, a stabilization in visitor counts, or any concrete sizing of the CoStar lawsuit — and explicitly no additions on a trial-headline pop. (Blue bench 7/10; red bench 5/10 wanted to stay flat until the verdict.)

What we believe

Zillow at \$35.16 — down 61% from its 52-week high and 21% off its low — is a roughly breakeven, cash-rich marketplace being priced as if its core business is collapsing, when the actual damage evidence is thinner than the tape implies. Corrected numbers: 224.9M shares → ~\$7.9B market cap, \$682M cash, no convertible debt (settled May 2025), an undrawn \$500M revolver, and the scary-looking \$465M “repo” is just collateralized mortgage warehouse borrowing. On full-year guidance of \$730–760M adjusted EBITDA minus a ~\$300M stock-compensation run rate, the enterprise trades at roughly **16x a conservatively-defined real cash earnings number** — not the 40x+ the bear case claimed. The company bought back \$200M of stock in Q2 at an average of ~\$35.4–35.7 (essentially today’s price) and has **\$1.1B of authorization remaining, about 14% of the market cap** — a real, funded floor under the price. Revenue grew through a quarter in which the consumer-disintermediation story says it shouldn’t have: Rentals +31% and Mortgages +75%, which monetize property managers and borrowers, businesses that do not grow like that through a collapsing funnel.

What the market believes

The market believes three stacked negatives: (1) the FTC’s case over the Zillow–Redfin rentals deal — bench trial starting **August 24, 2026**, six trading days out — threatens the fastest-growing segment (Rentals is 42% of incremental growth and is the business on trial); (2) CoStar’s copyright suit over 53,000 photos is an unbounded tail, made worse because the infringement count *grew* after the complaint (a willfulness accelerant) and the motion to dismiss was **denied** in May; and (3) the consumer funnel is genuinely eroding — unique users fell 3% and then 2%, the leading indicator, while the flagship Residential segment grew only +7%. Layer on ten insider Form 144 sale filings clustered August 11–14 into the pre-trial window (10b5-1 status unverified), a “26% margin” guide built on an adjusted metric that excludes both stock compensation (~10% of revenue) and — remarkably — **the FTC litigation’s own defense costs**, and a Q2 margin of 23% that requires a second-half lift to hit guidance. The market’s view is coherent, not irrational.

Why we might have edge

The court process itself generated the edge: **both directions' headline numbers were wrong, and the corrections net out in favor of a small long.**

- The bear case's central valuation kill used a stale stock-compensation ratio (~15% of revenue, a 2022-era figure). The actual Q2 number is **\$75M on \$772M revenue = 9.7%** ([Q2-26 shareholder letter](#)). That single correction moves the “real” multiple from 40x+ to ~16x — the kill was itself the artifact.
- The “growth is fake mix” claim degraded on inspection: property-manager and mortgage revenue growing 31%/75% is delivered *through* the consumer funnel; that's evidence the funnel still converts, not an accounting trick.
- The downside “has no floor” claim is directly rebutted by a live buyback executing at exactly this price with \$1.1B remaining.
- The market is pricing the trial *start* as a catalyst; the bench verdict will come weeks later, the FTC already lost its quick-look and partial summary-judgment motions on July 8, and it now carries the full rule-of-reason burden ([GeekWire](#)).

Why it might be priced in

Honest counter-case, and it's substantial. The CoStar tail is *worse than the bear bench knew* — the motion to dismiss was already denied when the bear wrote “pending,” the 10-Q says the loss is “not estimable,” and per-work statutory damages theoretically exceed the market cap. Nobody on either bench can size it; a stock down 61% may simply be pricing an unsizable legal tail correctly. The visitor decline is real and leads revenue; if monetization follows traffic down with a lag, the +7% Residential growth is the past, not the future. The 26% margin guide needs a second-half acceleration that Q2's 23% doesn't yet show, into an earnings date that isn't even company-confirmed — and management excluding its own live litigation costs from that headline margin is a genuine earnings-quality red flag. Insiders sold into the pre-trial window. At ~16x cash earnings, this is cheap-for-a-reason, not free money.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count / cap structure	10-Q cover page (Z-20260630.htm)	41.4M A + 6.2M B + 177.3M C = 224.9M shares; triage's ~243M was wrong ; no converts (settled May 2025); revolver undrawn; \$465M is mortgage warehouse, not corporate leverage	YES
“SBC is ~15% of revenue → 40x+ real multiple” (red bench)	Q2 letter reconciliation	Red bench error — stale ratio. Actual: \$75M / \$772M = 9.7%; corrected multiple ~16x on FY guide minus SBC run-rate	YES (refuted)
“CoStar motion to dismiss pending in W.D. Wash.” (red bench)	News/docket cross-check (Virginia Business)	Red bench error — MTD was denied May 11, 2026, in federal court in Virginia. Red's own “change	YES (worse than red knew)

Claim	How checked	Found	Confirmed?
		my mind” trigger was already dead when written. Tail is live and unsized	
“FTC remedy = single-digit revenue slice” (triage)	10-Q contingency note	Triage invention. Filing says loss “not estimable”; no filing bounds the remedy	YES (claim unsupported)
Revenue growth is an aggregation artifact	Segment decomposition from Q2 exhibit	Residential +7% (~+9% per user); Rentals +31%, Mortgages +75%. It’s mix concentration, not artifact — but growth IS concentrated in the segment on trial	YES (both halves)
Buyback floor	10-Q	\$200M repurchased in Q2 at ~\$35.4–35.7 avg; \$1.1B authorization remaining (~14% of cap)	YES
Adjusted EBITDA excludes FTC defense costs	Q2 letter reconciliation	Confirmed — the marketed margin is subsidized by the exact risk being litigated	YES
FTC posture	Court reporting (GeekWire, Bloomberg, HousingWire)	Trial Aug 24; quick-look and partial SJ denied July 8; FTC bears full rule-of-reason burden	YES
CoStar paragraph in the 10-Q contingency note	Blue bench’s proxy-fetched extract	Not found in the extract — possibly a fetch truncation; if genuinely absent from the filing, that is itself a disclosure problem	NO — unverified
Live quote; Oct 29 earnings date; insider sales are 10b5-1	IBKR denied to both benches; date is data-vendor-derived; 144s not opened	Working off the pack’s \$35.16 print; earnings date unconfirmed by any company PR; 10b5-1 status unknown	NO

PROPOSED ENTRY BANDS

All from the benches’ own math; the two benches split on timing (blue: buy half now; red: stay flat until the verdict), so this is blue’s plan with red’s gates adopted wholesale.

- **Initial buy: half-sized position (~0.5% of the book) at market, ~\$35.16** — inside the company’s own Q2 buyback range (\$35.4–35.7 average), which is the closest thing to an externally-validated fair price either bench produced. *Red bench dissent noted: entry before the verdict pays no catalyst rent; adjudicator must choose.*
- **Add #1 (to full position): only on the FTC verdict**, if the rentals arrangement survives or the remedy is confined to unwinding exclusivity. The trial *start* on Aug 24 is not a trigger. **Explicitly no buying an opening-statements pop.**
- **Add #2 (alternative trigger): the Q3 print (~Oct 29, unconfirmed)** showing unique users flat-or-up AND Residential revenue-per-user sustaining above +10% — red’s own stabilization test.
- **Add #3 (alternative trigger): any CoStar sizing event** — a settlement below \$200M (red’s threshold) or any court ruling that caps the per-work exposure.

- **Exit / kill:** FTC verdict that forces divestiture or kills the rentals economics; a CoStar damages ruling or settlement demand at material scale; or a second consecutive quarter of accelerating user decline (leading indicator confirming the bear's funnel thesis).
- **Review trigger, not an automatic buy: a break below \$29.03** (the 52-week low). Because the buyback is the floor argument, a new low *despite* \$1.1B of repurchase capacity means the floor thesis failed — re-open the court, don't average down.
- **If the adjudicator sides with red (no entry now):** re-open on the FTC verdict, the stabilization print, or the CoStar sizing event above — same three gates, just with a zero starting position.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 29.03 (deck-provisional: 52-week-low break despite \$1.1B buyback capacity = floor thesis failed; re-open court, do not average)
- filing watch: 8-K until 2027-02-11 (deck-provisional: FTC verdict or CoStar sizing/settlement disclosure - the add and kill triggers)
- dated pack ZG|2026-08-24: ZG: FTC bench trial begins (verdict follows weeks later; trial start is NOT a buy trigger) (date confirmed=True)
- dated pack ZG|2026-10-29: ZG: Q3 earnings print - vendor-derived date, no company PR (date confirmed=False)

What remains unverified

1. **Whether the CoStar matter appears in the 10-Q contingency note at all** — blue's extract shows FTC and the Breidert class action but no CoStar paragraph; could be a fetch artifact, could be a disclosure finding. Needs a clean full-document read.
2. **The Oct 29 earnings date** — data-vendor-derived, no company PR.
3. **10b5-1 status of the August Form 144 cluster** — filings not opened.
4. **The live executable quote** — both benches were denied broker access and worked off the pack's \$35.16 print.
5. **"Users lead, monetization lags"** — asserted by the bear, never demonstrated; shedding low-intent traffic while keeping transactors fits the same data.
6. **Seasonality, position-capacity, and crowding checks** — coverage gaps on both benches (no shell access), not passes.

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